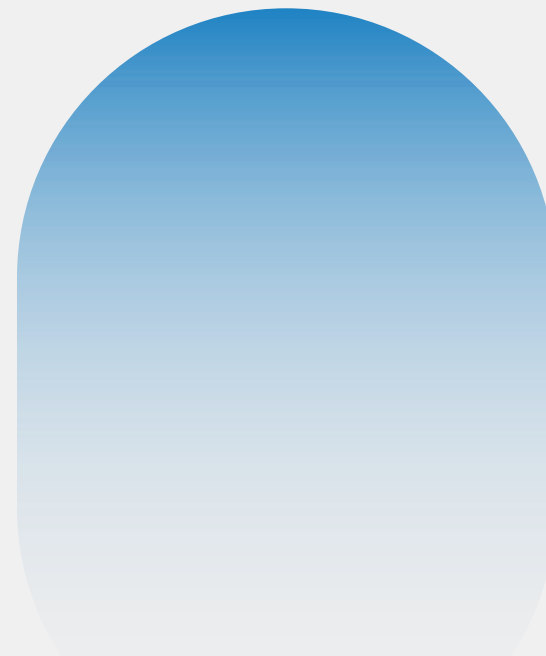


Aegis & Aegis

Wound Closure Strategy

Johnson & Johnson Case
Competition
Team 9

April 2026



A&A leads in traditional sutures but lacks presence in the fast-growing barbed suture market, while competitors are already gaining traction with FDA-approved products. With its current plant at full capacity, A&A must rapidly enter the market with a differentiated, high-quality solution that aligns with its Credo and supports future scalability.

Challenge Overview



Executive Summary

Recommendation

A&A should pursue a premium leadership strategy by acquiring barbed suture IP, developing spiral sutures internally, and supporting this with high pricing, gold marketing.

Key Decisions

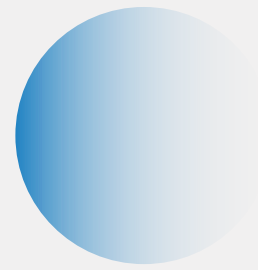
- R&D: Purchase symmetrical IP + develop spiral internally
- Pricing: High
- Marketing: Gold (drive adoption)
- Supply Chain: New Plant Construction
- Human Capital: Full-Time Employees

Key Results

- Market Share: 56.4% → ~90%
- NPV: ~\$24–25M
- Gross Profit: \$8.3M → \$91.4M (~75%–77% margin)
- Net Income: ~\$39M (33% margin)

Strategy:

Build a premium, differentiated portfolio supported by strong marketing and in-house capabilities.



Market Overview

Market Size & Growth

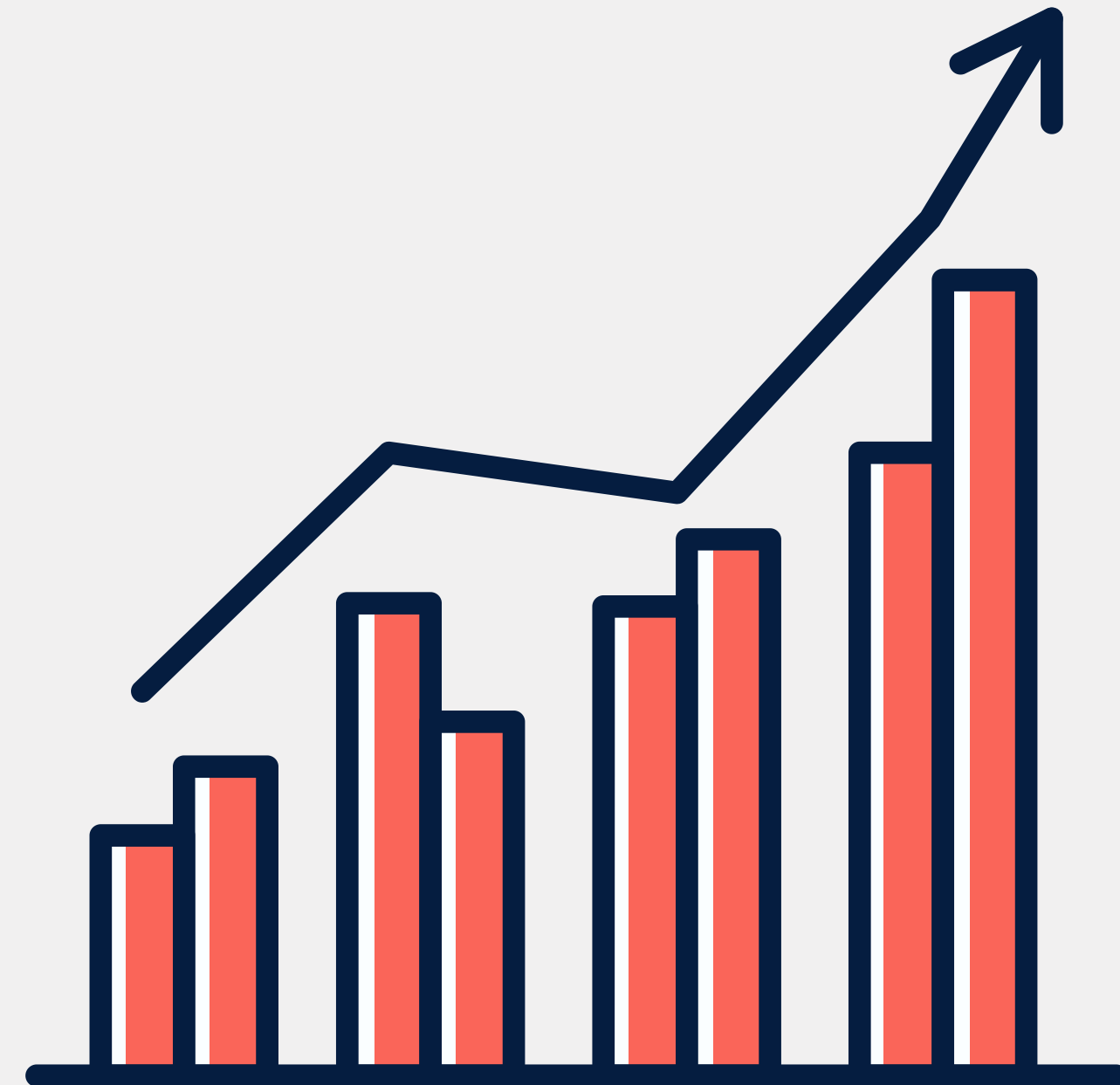
- CAGR: ~6.5–7.8%
- Barbed sutures growing fastest (9–12% CAGR)

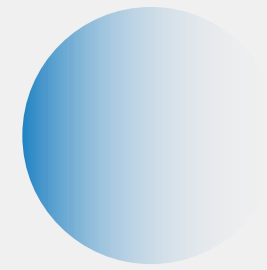
Key Drivers

- More surgeries + aging population
- Improved efficiency with lower infection risk

Adoption Insight

- Not automatic; surgeons require training and trust





Market Position

56.4% A&A holds 56.4% market share in traditional sutures

A&A Market Position

- Market leader in traditional sutures with strong hospital relationships
- High brand trust and established surgeon usage
- Large installed base across high-volume procedures



Strategic Gap

- Opportunity to lead the market with a first-to-market spiral.
- Potential to strengthen premium positioning in barbed sutures.
- Room to expand capacity to support next-generation growth.



Competitive Landscape

Athena (Kronos)

- \$221M revenue, smaller but specialized
- Early patent (1999) + FDA approval (2005)
- Advanced product design (bi/unidirectional sutures)
- Competes through differentiation, not scale

Takeaway:
Niche innovator with strong product design

Crius (Poseidon)

- \$11.9B revenue, global scale (55% U.S.)
- FDA-approved barbed suture (since 2010)
- Strong device portfolio (68% of revenue)
- Proven clinical performance and adoption

Takeaway:
Dominant incumbent with scale and credibility

Emerging / Adjacent Players

- Smaller firms (e.g., Hades Medical) → niche innovations
- Adjacent tech (Apollo & Nyx) → alternative wound care
- Increasing innovation pressure in wound closure

Takeaway:
Market becoming more competitive and innovation-driven

A&A SWOT Analysis

Strengths	Weaknesses	Opportunities	Threats
• Market leader with 56.4% share in traditional sutures • Global scale: 128k employees, 250 companies • Leadership in 80% of MedTech platforms • Strong quality, reliability, and patient outcome reputation	• No barbed sutures; competitors already FDA-approved • Plant at 100% capacity limits growth • High capital needs for expansion/new plant • 3–5 year internal manufacturing timeline	• First-mover potential in spiral sutures • Ability to grow beyond 56.4% share with premium innovation • New marketing channels (conferences, demos, training) • Outsourcing enables immediate revenue	• Strong competitors (Crius Poseidon, Athena Kronos) • Substitute tech (staples, adhesives) • Regulatory complexity & cost • Pricing pressure + rising material costs • Disruptive innovation from smaller players

Credo Alignment



Patient Value & Quality

- Reduces surgery time → improves outcomes and lowers total cost of care
- Lowers infection risk → reduces complications and readmissions
- Premium pricing aligned with clinical value, not cost alone



Access & Innovation

- IP acquisition → enables immediate market entry and broader access
- Gold marketing accelerates adoption and expands hospital access
- Scalable capacity from new plant supports growing demand



Stakeholder Impact

- Patients: Better outcomes, fewer infections
- Employees: Workforce stability
- Community: Greater surgical access
- Stockholders: NPV \$24.7M



Strategy Overview



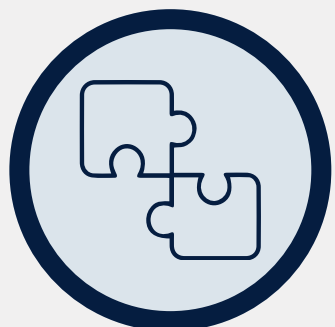
Symmetrical sutures

- Purchase IP for symmetrical sutures
- Factory in Georgia
- Defensive product



Spiral sutures

- Internally develop spiral sutures
- Capture premium pricing
- Differentiated demand



Combined strategy

- Pair fast entry with long-term innovation
- High pricing → maximize margins
- Gold marketing → drive adoption



R&D + Price Strategy

R&D Strategy:

- Symmetrical (IP) → immediate revenue + market defense
- Spiral (internal) → first-mover advantage + premium growth

Financial Impact:

- Protects Current Marketshare
- Stronger long-term profitability
- Supports reinvestment into innovation

Tradeoff:

- Lower adoption initially → mitigated by marketing



Marketing Strategy

Recommendation: Gold-tier marketing

Why it matters:

- Surgeons are resistant to change
- Adoption requires training + trust

Execution:

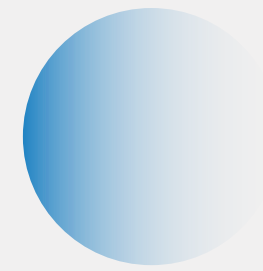
- Conferences
- Live demonstrations
- Direct surgeon engagement

Impact:

- Accelerates adoption curve
- Increases market penetration
- Justifies premium pricing

In healthcare, credibility drives demand





Supply Chain Strategy



Recommendation: **New Plant Construction**



Why

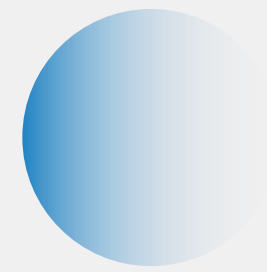
- Highest product quality + consistency
- Purpose-built for barbed sutures
- Maximizes scalability + reliability



Financial Advantage

- Leads to ~90% market share
- Enhances profitability + financial strength
- Enables efficient future expansion





Human Capital

Stable workforce → higher manufacturing expertise & product consistency

- Aligns with Credo's focus on patient safety and quality

Supports long-term employee development & retention

- Reinforces responsibility to employees and job stability

Improves operational reliability & execution consistency

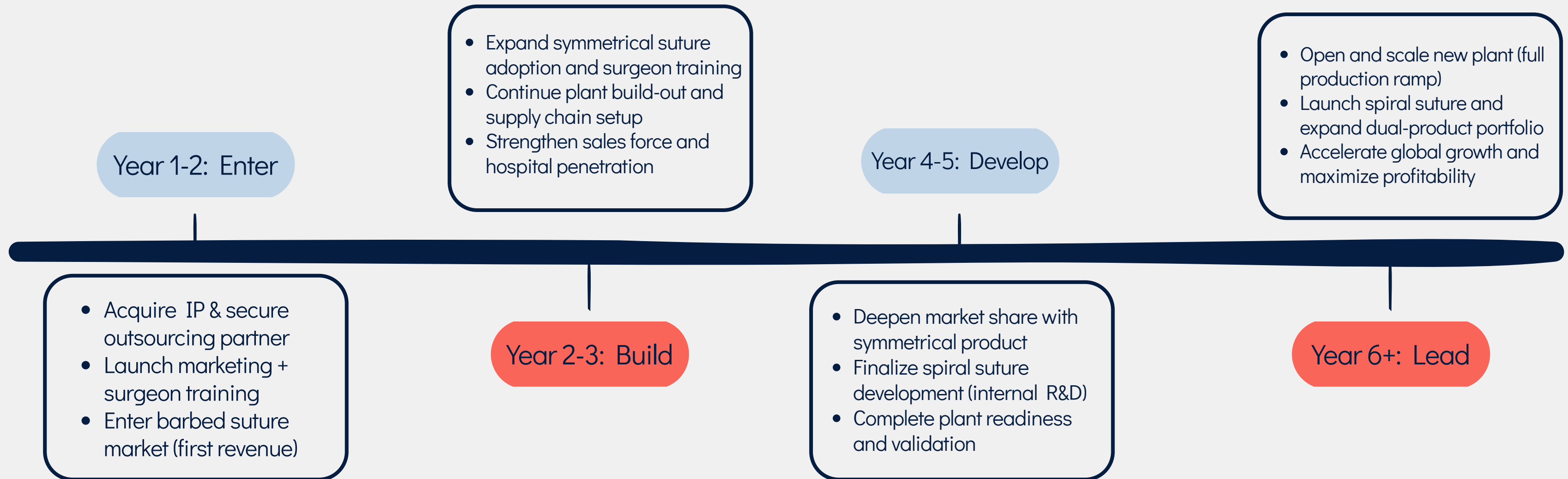
- Enables premium positioning in a high-quality product market

Balanced approach to quality, people, and long-term growth

- Fully aligned with Credo-driven strategy



Implementation Roadmap





Sensitivity Analysis

Scenario	Change	Key Impact	NPV Effect
Pricing Sensitivity	High → Medium/Low	↑ Adoption Initially ↓ Margins	↓ NPV (volume doesn't offset)
Marketing Sensitivity	Gold → Medium/Low	↓ Surgeon adoption ↓ Market share	Weakens long-term position
Supply Chain Sensitivity	New Plant → Outsource	~Same share ↓ CapEx	~Same NPV

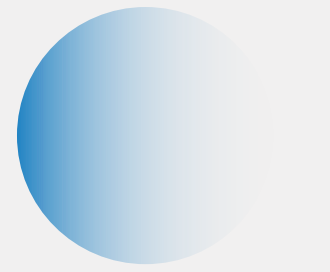
Key Assumptions & Tradeoffs

Strategy Assumptions

- **Premium Pricing:** Clinical value outweighs price sensitivity
- **Gold Marketing:** Training drives surgeon adoption
- **New Manufacturing Plant:** More control but high CapEx + delayed returns
- **IP + Internal R&D:** Immediate entry + long-term differentiation

Tradeoffs

- **Lower Pricing:** Higher adoption but lower margins & NPV
- **Reduced Marketing:** Lower cost but slower adoption & weaker share
- **Outsourcing:** Speed + capital efficiency > control
- **Full Internal Development:** Strong differentiation but delayed entry & lost early share



Financial Analysis

Financial Performance Summary

- Strong performance driven by:
 - Early market entry
 - Premium pricing
 - Production-efficient sourcing
- Result: High market share growth + superior returns



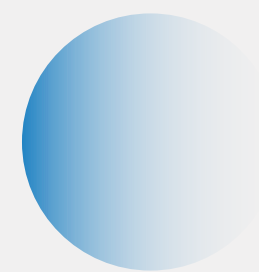
Financial Metrics

- Market Share: 56.4% → ~90% (peak)
- NPV: ~\$24–25M (highest among strategies)
- Cumulative Net Income: ~\$39M
- Industry Growth: ~7.5%
- Outperformance driven by barbed segment entry



Value Drivers

- Premium Pricing → Higher margins per unit
- Gold Marketing → Faster adoption & share gain
- New Plant → Highest CapEx + long-term cost efficiency
- IP + Internal R&D → Immediate revenue + long-term growth



Why this Strategy **WINS**

01 Capture High-Growth Segment

- Focus on barbed sutures (shifting demand)
- Positions A&A in fastest-growing segment

02 Drive Early Adoption & Share

- Immediate entry via IP + outsourcing
- Gold marketing → faster surgeon adoption
- Builds long-term customer stickiness

03 Maximize Profitability

- Premium pricing → stronger margins
- Product supports premium positioning

04 Capital Efficient & Scalable

- New plant → dedicated facility ensures quality control & IP protection
- Full-time workforce → lower turnover costs improve cash flow & NPV over time

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Thank you

Any questions?

